

Slip sample 4

TIV info & Policy condition:

Attached are the following:

- Org Chart for Vanguard Foods LP - we are still clarifying the named insured for each entity but first Named Insured will be Vanguard Foods LP
- Property Exposure: US SOV & COPE with \$69,795,000 of TIV.
- Loss Information: Clean 10 year Loss History
- Proposing Marsh Manuscript form- Attached has been updated with proposed sublimits/deductibles.
- Specs. Sublimits have been added into Manuscript form as well.
- Currently there is no Florida, Pac NW or New Madrid exposure on the SOV- these are all forward thinking if the program is to expand.

F. **LIMITS OF LIABILITY**

- (1) The **Program** limit of liability is US\$50,000,000.
- (2) Sublimits below are applicable to all direct physical loss, damage or destruction insured against, except an **Accident**.
 - (a) With respect to all losses caused by the peril of **Flood**, the **Company** shall not be liable, in the aggregate for any one **Policy** year, for more than its proportionate share of US\$15,000,000;

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But not to exceed US\$5,000,000 in the aggregate for any one **Policy** year for the peril of **Flood** occurring in **Special Flood Hazard Areas**. However, this **Special Flood Hazard Area** sublimit shall not apply to loss involving personal property, buildings, or structures wholly located outside an area designated as a **Special Flood Hazard Area**.

The aggregate limit stated in the paragraph above shall be part of the overall aggregate limit stated in the introduction to this paragraph.

Even if the peril of **Flood** is the predominant cause of direct physical loss, damage or destruction, any ensuing physical loss, damage or destruction arising from a peril not otherwise excluded herein shall not be subject to the sublimit or aggregate specified in this paragraph (a).

- (b) With respect to all losses caused by the peril of **Earthquake**, the **Company** shall not be liable, in the aggregate for any one **Policy** year, for more than its proportionate share of US\$15,000,000; except for the following separate aggregate limits:
 - (i) US\$ Excluded for losses occurring in the State of California;
 - (ii) US\$1,000,000 for losses occurring in the New Madrid seismic zone, as defined in Addendum A;

(iii) US\$1,000,000 for losses occurring in the Pacific Northwest seismic zone, as defined in Addendum B;

(iv) US\$15,000,000 for all other Earthquake losses

The aggregate limits stated in subparagraphs (i) – (iv) above shall be part of the overall aggregate limit stated in the introduction to this paragraph.

Even if the peril of **Earthquake** is the predominant cause of direct physical loss, damage or destruction, any ensuing physical loss, damage or destruction arising from a peril not otherwise excluded herein shall not be subject to the sublimit or aggregate specified in this paragraph (b).

(c) With respect to the peril of **Named Windstorm** occurring in the Counties as identified in Addendum C, the **Company** shall not be liable for more than its proportionate share of US\$50,000,000;

Even if the peril of **Named Windstorm** is the predominant cause of direct physical loss, damage or destruction, any ensuing physical loss, damage or destruction arising from a peril not defined as **Named Windstorm**, and not otherwise excluded herein, shall not be subject to the sublimit specified in this paragraph (c).

(d) US\$1,000,000 with respect to property in transit;

- (e) US\$50,000,000 with respect to property while in the course of construction, erection, installation, and assembly including materials and supplies associated therewith and including Delay in Completion of the Project coverage, all at locations that are not scheduled on this **Policy** or listed on a schedule on file with the **Company**;

With respect to the sub-limits described in (2)(a), (2)(b), and (2)(c) above, such sublimit(s) shall be the maximum amount collectible in any one **Occurrence**, irrespective of any other coverages and sub-limits that may be applicable.

- (3) Sub-limits below are applicable to any one **Accident**:

The liability of the **Company** for direct physical loss, damage or destruction resulting from any one **Accident** shall not exceed its proportionate share of US\$50,000,000.

- (4) Sub-limits and time limits below are applicable to all direct physical loss, damage or destruction, including **Accident**. The Company shall be liable for its proportionate share of these limits.
- (a) US\$10,000,000 with respect to **Newly Acquired Locations** for all coverages insured against for up to 90 days, after which the **Miscellaneous Unnamed Locations** sublimit applies if the location is not reported;
- (b) US\$5,000,000 with respect to **Miscellaneous Unnamed Locations** for all coverages insured against;
- (c) US\$1,000,000 with respect to **Ingress/Egress** described under paragraph 2.G. (3) for up to 30 days Period of Recovery, subject to a 10 mile distance limitation.
- (d) US\$1,000,000 with respect to **Interruption by Civil or Military Authority** described under paragraph 2.G. (2) for up to 30 days Period of Recovery, subject to a 5 mile distance limitation.
- (e) US\$500,000 in the aggregate for any one policy year with respect to coverage described under Clause 3.K., **Land and Water Contaminant or Pollutant Clean-up, Removal and Disposal**;

Deductibles (per occurrence):	
Property Damage / Time Element Combined	\$100,000
All Other Earthquake, except:	\$100,000
California Earthquake	Excluded
New Madrid Earthquake	2% of TIV, min \$100K/max \$250K
Pacific Northwest Earthquake	2% of TIV, min \$100K/max \$250K
All Other Flood, except:	\$100,000
Special Flood Hazard Area (SFHA) Flood	\$500k PD/\$500K contents /\$100K TE
Moderate Flood Hazard Area (MFHA) Flood	\$100,000
Named Storm	
US Tier 1 Named Storm	5% of TIV, min \$100,000/max \$400,000
Equipment Breakdown	\$100,000
Service Interruption	24 Hours
Transit	\$10,000

G. DEDUCTIBLE(S)

All losses, damages or expenses arising out of any one **Occurrence** shall be adjusted as one loss, and from the amount of such total adjusted loss US\$100,000 shall be deducted, except:

- (1) US\$100,000 for loss caused by the peril of **Flood**; except,

US\$500,000 per building/ \$500,000 for contents/ \$100,000 Time Element for loss caused by the peril of **Flood** occurring to insured property situated in a **Special Flood Hazard Area**. However, this **Special Flood Hazard Area** deductible shall not apply to loss involving personal property, buildings, or structures wholly located outside an area designated as a **Special Flood Hazard Area**.

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The above deductibles shall not apply to ensuing physical loss, damage or destruction arising from a peril not otherwise excluded herein.

- (2) US\$15,000,000 for loss caused by the peril of **Earthquake**; except,

Excluded % of the Actual Value per Unit of Insurance at the time when such loss occurs at locations within the State of California for the peril of **Earthquake** subject to a minimum of US\$ N/A and a maximum of US\$ **N/A** in total for all Units of Insurance per **Occurrence** irrespective of the number of locations involved. This deductible shall apply only to those Units of Insurance suffering a loss in the **Occurrence** and for which a claim is being made.

2 % of the Actual Value per Unit of Insurance at the time when such loss occurs at locations within New Madrid Zone as defined in the Addendum A for the peril of **Earthquake** subject to a minimum of US\$100,000 and a maximum of US\$250,000 in total for all Units of Insurance per **Occurrence** irrespective of the number of locations involved. This deductible shall apply only to those Units of Insurance suffering a loss in the **Occurrence** and for which a claim is being made.

2 % of the Actual Value per Unit of Insurance at the time when such loss occurs at locations within Pacific Northwest as defined in the Addendum B for the peril of **Earthquake** subject

to a minimum of US\$100,000 and a maximum of US\$250,000 in total for all Units of Insurance per **Occurrence** irrespective of the number of locations involved. This deductible shall apply only to those Units of Insurance suffering a loss in the **Occurrence** and for which a claim is being made.

The above deductibles shall not apply to ensuing physical loss, damage or destruction arising from a peril not otherwise excluded herein.

- (3) 5% of the Actual Value per Unit of Insurance at the time when such loss occurs at locations within counties identified in Addendum C for the peril of **Named Windstorm** subject to a minimum of US\$100,000 and a maximum of US\$400,000 in total for all Units of Insurance per **Occurrence** irrespective of the number of locations involved. This deductible shall apply only to those Units of Insurance suffering a loss in the **Occurrence** and for which a claim is being made; except,

The above deductible(s) shall not apply to ensuing loss, damage or destruction arising from a peril not otherwise excluded herein and not described in the **Named Windstorm** definition under the Definitions Section of this **Policy**.

- (4) US\$100,000 with respect to direct physical loss, damage or destruction resulting from any one **Accident**.
- (5) US\$10,000 with respect to **Transit**

Deductible Application

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- (a) In the event of loss involving Underlying Insurance, such as insurance through the National Flood Insurance Program (NFIP), and this **Policy**, the deductible applicable hereunder shall be reduced by the amount of loss payable under such Underlying Insurance Policy(ies). Should the amount of loss payable and collectible under such Underlying Insurance Policy(ies) exceed the applicable deductible under this **Policy**,

then no deductible shall apply hereunder. However, if the amount to be paid and collectible under such Underlying Insurance Policy(ies) is less than the applicable deductible under this **Policy**, then the amount to be deducted hereunder shall not exceed the difference between the amount to be paid and collectible under the Underlying Insurance Policy(ies) and the applicable deductible under this **Policy**. Only those losses insured under both the Underlying Insurance Policy(ies) as well as this **Policy** shall be recognized.

- (b) The following shall be considered a separate Unit of Insurance:
 - (i) Each separate building or structure;
 - (ii) The contents of each separate building or structure;
 - (iii) Property in the open;
 - (iv) Business Interruption as defined in Clauses 2.B. in the Policy Provisions Section of this **Policy**, being the Net Profit and all continuing charges and expenses which would have been earned for the twelve month period immediately following the date of direct physical loss, damage or destruction had no loss occurred at the location sustaining such direct physical loss, damage or destruction and at all other locations affected by such direct physical loss, damage or destruction.
- (c) If two or more deductible amounts in this **Policy** apply to a single **Occurrence**, the total to be deducted shall not exceed the largest deductible.
- (d) For any deductible expressed as a percentage of value per Unit of Insurance, the deductible to be applied to an **Occurrence** shall be the total of all individual percentage deductibles applied to the separate values of property suffering the direct physical loss, damage or destruction and for which a claim is being made under this **Policy**.
- (e) The percentage deductibles shown above shall not apply to the extensions of coverage described under paragraphs (1) through (3) of Clause 2.G., Time Element Extensions in the Policy Provisions. In such instance, the dollar deductible amount otherwise applicable shall apply.
- (f) The term Actual Value shall mean the value of property insured calculated in accordance with the **Policy's** Valuation Clause 6. in the Policy Provisions as of the date of the **Occurrence**.
- (g) In any **Occurrence** where direct physical loss, damage or destruction is caused by more than one peril insured against under this **Policy**, the **Insured** shall have the right to separate the loss amount by peril for the purposes of application of the deductible(s) specified in this Section, notwithstanding the above reference to two or more deductibles and the **Policy** limits.

H. WAITING PERIOD(S)

For the purposes of applying Service Interruption coverage, the Waiting Period is 24 hours.

Waiting Period means the time period indicated above where the **Company** shall have no liability for the **Time Element** loss when the Period of Recovery applicable to all **Time Element** loss is equal to or less than such indicated time period.

If, however, the Period of Recovery exceeds such indicated time period then the **Company's** liability for the **Time Element** loss shall otherwise apply and the Period of Recovery shall be measured from the inception of the **Occurrence** for which loss is being claimed. The applicable deductible shall then apply.

If more than one location is involved in an **Occurrence** for which the Waiting Period is applicable, only those location(s) where the Period of Recovery exceeds the time period so stated shall be considered in the loss payment.

